monumental waste of resources. With central banks and governments getting a good handle on inflation and financial instruments and derivatives protecting value and providing good returns, stashing away such a vast investible resource is not in the national or individual interest.

The time has come for a change of mindset and gold to emerge as a massive resource of investment—without, of course, compromising on the needs of households to protect against inflation and the use of ornaments for social purposes. India must unlock the wealth tucked away in gold.

Development of Gold as a Financial Asset Class

Transactions and holdings of gold can be classified into two categories: commodity gold, gold as goods, inventories or valuables; and financial gold (including monetary gold). Gold in India is mostly held by households, jewellers, temples and trusts. RBI holds about 700 tonnes of gold. Banks in India do not keep gold though some NBFCs (gold finance companies) buy gold for cash and lend against deposit of gold. Gold is a common possession of most families and temples in India, in the form of jewellery and coins. While holding jewellery as ornaments is important, it is also purchased with an investment objective.

Development of gold as a financial asset class can provide a better alternative to people than holding jewellery as a financial asset to manage inflation risk. This would require gold to serve two objectives. First, to protect the value of investment, with gold as the underlying asset, equal to the value of gold at the time of disposal/maturity of investment. Second, to earn positive financial returns over and above covering the cost of using jewellery for ornaments. If these two objectives are served by the investment with gold as the underlying asset, it should be possible to convince people to convert gold as a financial asset instead of keeping it as a commodity in the form of jewellery. That said, it won’t be easy and quick